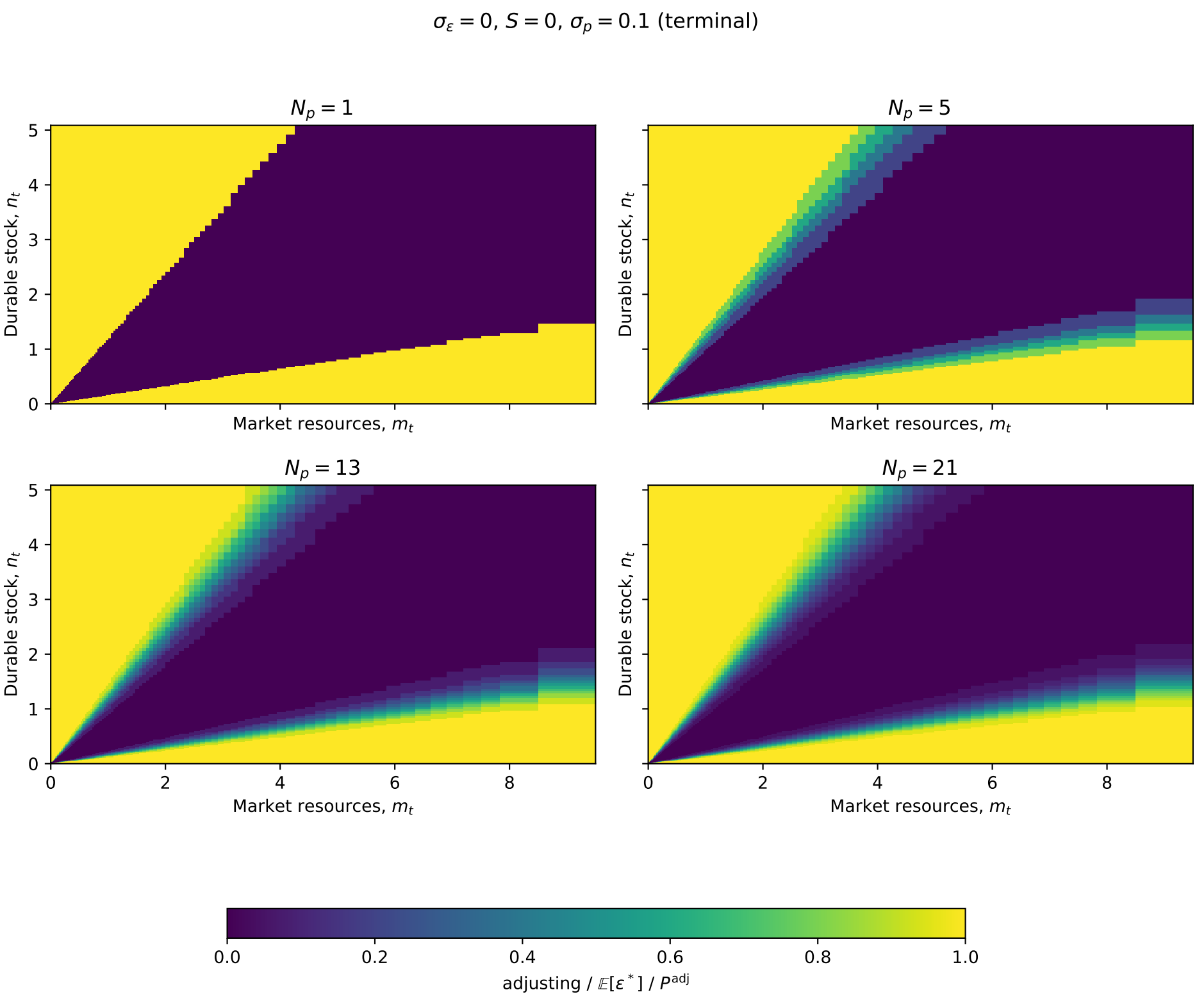

$\sigma_\epsilon = 0$, $S = 0$, $\sigma_p = 0.1$ (terminal)
$N_p = 1$
$N_p = 5$
$N_p = 13$
$N_p = 21$
Durable stock, $n_t$
Market resources, $m_t$
0
1
2
3
4
5
0
2
4
6
8
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\epsilon^*]$ / $P^{\text{adj}}$